Housing and Tax Inequality in
Chicago's COVID-19 Recovery

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Abstract

Chicago's COVID-19 recovery did not so much create new housing inequities as deepen existing ones. This paper documents how housing-price dynamics and property-tax structure interacted across Chicago neighborhoods between 2019 and 2024, drawing on the Cook County House Price Index and triennial assessed-value records from the Cook County Assessor's Office and Board of Review. Grouping neighborhoods by pre-COVID median home value and tracking the residential share of assessed value across eight townships, I find that the sharpest price appreciation fell on historically lower-income submarkets: neighborhoods valued below $250,000 rose 74.2% on average, while the highest-value tier rose only 29.6%. The residential share of assessed value declined in five of eight townships, but by margins too small to offset the resulting increases in assessments and tax bills for already cost-burdened households. The analysis is descriptive rather than causal, but the patterns are consistent with the literature on regressive property-tax reliance and post-crisis affordability pressure. The findings point to equity-based fiscal redesign, targeted relief, and diversified municipal revenue as leverage points before the next crisis.

Keywords: housing affordability; property taxation; COVID-19 recovery; tax incidence; inequality; Chicago.
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Plain-Language Summary

Chicago leans heavily on property taxes to fund local government, and a home's tax bill rises when its assessed value rises. This paper asks what happened to housing prices and property-tax burdens across the city's neighborhoods during the COVID-19 recovery, and who ended up carrying more of the load.

The neighborhoods that had been most affordable before the pandemic saw the largest price jumps. Homes in the lowest-price areas rose about 74% in value, while homes in the wealthiest areas rose only about 30%. Because property taxes track home values, the families least able to absorb a higher bill faced the steepest increases.

City-wide, the share of the tax base coming from homes rather than businesses shifted only slightly, and not by enough to shield those households. Modest adjustments to the residential-commercial mix could not keep pace with how fast home values were climbing.

The takeaway is that tying local revenue tightly to property values, without targeted relief, widens the gap during a crisis. This is a descriptive study, not a controlled experiment, and the township data are coarse, so it shows strong patterns rather than proven cause and effect. Even so, the direction is clear: relief aimed at vulnerable neighborhoods would have done the most to stabilize household budgets.

1 INTRODUCTION

Rather than introducing new inequalities, COVID-19 exposed the ones long present in Chicago. Before the pandemic, nearly half of Chicago's households were cost-burdened, spending more than 30% of their income on housing (IHS, 2020). The city's dependence on property taxes, combined with a chronic shortage of affordable housing, created a vulnerable ecosystem for low- and middle-income households and left them disproportionately exposed to pandemic-induced shocks. Federal relief was short-lived, and many post-pandemic recovery policies actively reinforced existing burdens (Furceri et al., 2021; Hazra and Shiau, 2022). During crises, inequalities tend to widen unless they are blunted by progressive fiscal structures (Furceri et al., 2021; Hazra and Shiau, 2022). Chicago's reliance on property taxes both reflects and reproduces these affordability pressures, slowing a uniform recovery. This paper examines how housing-price dynamics and property-tax structures interacted during Chicago's COVID-19 recovery, and identifies leverage points for building more equitable fiscal policy ahead of the next crisis.

2 LITERATURE REVIEW

A consistent finding across the crisis-economics literature is that recessions magnify inequality unless offset by progressive policy. Hazra and Shiau (2022) and Auerbach et al. (2020) show that recessions disproportionately harm vulnerable households when governments respond with austerity, while Furceri et al. (2021) document that post-crisis fiscal consolidations typically raise inequality in the absence of redistributive measures.

In Chicago, the pandemic compounded deep-rooted housing inequities. Property tax burdens have long fallen most heavily on disadvantaged neighborhoods (Smith, 2008), and prior public-housing demolitions harmed low-income households while benefiting higher-income residents (Almagro et al., 2023). COVID-era mortgage delinquency and forbearance rose most sharply among at-risk borrowers (An et al., 2021), with nearly half of Chicago households already paying more than 30% of income on housing, a baseline that left limited capacity to absorb shocks.

Taxation widens these gaps. Franko (2021) highlights state and local reliance on property taxes as a source of regressivity, while Chetty et al. (2020) show that economic recovery from COVID-19 was substantially faster in higher-income neighborhoods, deepening pre-existing disparities.

3 METHODS

This analysis draws on two primary data sources. Housing affordability is measured using the Cook County House Price Index by neighborhood price category and affordability statistics from the DePaul University Institute for Housing Studies. Taxation outcomes are measured using the Cook County Assessor's Office triennial reassessment reports and Board of Review records (2019–2024), which report township-level shares of assessed value (AV) for residential and nonresidential property after appeals.

Affordability was analyzed by grouping neighborhoods into four price categories based on pre-COVID median home values and computing both the mean and median percent change in housing prices during the pandemic. The taxation dimension was assessed by tracking the residential share of total assessed value across eight Chicago townships from 2019 through 2024.

Calculations and visualizations were produced in R using the `tidyverse`. Township identifiers were standardized, AV shares converted to percentages, and results visualized using line plots and bar charts to highlight shifts over the study period. This analysis assumes that changes in AV shares reflect shifts in tax burden; exemptions, levy rates, and delinquencies are outside its scope. The design is not causal, but the patterns identified are consistent with the literature on regressive fiscal reliance on property taxes and post-crisis housing affordability pressures.

4 RESULTS AND DISCUSSION

Table 1 ranks the sixteen Chicago-area submarkets with the largest and smallest housing-price changes between 2019 and 2024. The pattern is stark: every submarket among the top eight by appreciation is historically lower-income, and every submarket among the bottom eight is wealthier. Englewood/Greater Grand Crossing led at 97% appreciation; Lake View/Lincoln Park, the city's wealthiest submarket, posted only 18.9%.

Table 2 aggregates this same dynamic by price category. Communities with pre-COVID median values below $250,000 saw the largest increases (74.2%), while neighborhoods in the "Very High Price" tier rose only 29.6%. Households in historically lower-income neighborhoods therefore faced the steepest increases in housing costs. Layering Cook County price data onto Institute for Housing Studies cost-burden data shows that neighborhoods where households were already spending more than 30% of income on housing experienced the highest appreciation: the neighborhoods least able to absorb a price shock got the largest one.

Several mechanisms plausibly drove this pattern. Affordable housing supply was already constrained pre-COVID, so any incremental demand pressure translated quickly into price growth. Investor purchasing in lower-income neighborhoods further squeezed supply available to local families. And thinner, less-liquid markets in lower-income neighborhoods amplified volatility relative to wealthier areas.

The protection of wealth in higher-income communities, combined with the disproportionate price pressure on affordable housing, produced a structural disparity. Higher-income households avoided excessive cost burdens and enjoyed more stable housing values, while lower-income neighborhoods faced a double bind: a 74% rise in home values fed directly into higher property assessments and tax bills, on top of higher rents and mortgages. More affluent neighborhoods saw only a 29% increase, leaving them largely insulated. The implication is that Chicago's property tax system imposed the highest marginal burden on the households least able to afford it, and did so precisely in the neighborhoods where even modest relief would have most stabilized household budgets.

Table 3 illustrates the fiscal dimension. Between 2019 and 2024, five of eight townships experienced declines in the residential share of assessed value, one stayed flat (Lake), and two rose modestly (Jefferson, South Chicago), suggesting a small redistribution of the tax base toward commercial property in most townships. At first glance the downward shift appears progressive, but the magnitude is too small to offset the housing-market shocks documented above. In neighborhoods where residential values were surging, assessments and tax bills rose regardless of the township-level shift. Notably, the largest residential-share increase (South Chicago, 22% to 24%) occurred in the township with the lowest baseline residential share, a sign of new residential activity, not relief from tax burden. The finding underscores a limit of tax-policy adjustment during rapid appreciation: modest tweaks in residential–commercial ratios cannot protect vulnerable households when underlying property values are moving sharply.

Taken together, these results show how COVID-era housing and taxation dynamics reinforced each other in Chicago. Families in lower-priced neighborhoods faced sharper appreciation, higher cost burdens, and rising property taxes simultaneously, while higher-priced areas remained insulated on all three margins. Even where the tax burden shifted slightly toward nonresidential property, the gains were erased by market-driven appreciation in residential values. Property tax dependence without targeted relief will continue to magnify housing instability in future crises.

Table 1: COVID-Era Housing Price Changes: Top and Bottom Eight Chicago-Area Submarkets, 2019–2024

Largest Increases		Smallest Increases	
%	**Submarket**	**%**	**Submarket**
97.0%	Englewood / Greater Grand Crossing	38.5%	Oak Park / Brookfield
86.4%	Calumet City / Harvey	38.4%	Winnetka / Northbrook
80.9%	Chicago Heights / Park Forest	35.4%	Logan Square / Irving Park
78.9%	Chatham / West Pullman	33.8%	Uptown / Rogers Park
71.2%	South Chicago / Hegewisch	32.3%	Albany Park / North Park
71.1%	Austin / North Lawndale	29.4%	Lincoln Square / North Center
62.1%	Oak Forest / Tinley Park	21.6%	West Town / Near West Side
59.3%	Hoffman Estates / Streamwood	18.9%	Lake View / Lincoln Park

Table 2: Changes in Housing Value by Price Category, Chicago, 2019–2024

Price Category	n Areas	Avg. % Change	Median % Change	Avg. Current Price
Low (<$250K)	8	74.2%	75.1%	$196,719
Medium ($250K–$450K)	16	48.6%	48.0%	$350,078
High ($450K–$700K)	6	38.7%	39.8%	$511,750
Very High (>$700K)	5	29.6%	33.8%	$960,800

Table 3: Residential Share of Total Assessed Value, Eight Chicago Townships, 2019 vs. 2024

Township	2019	2024	Δ (pp)
Lake View	76%	72%	−4
Jefferson	75%	76%	+1
Lake	70%	70%	0
Rogers Park	68%	64%	−4
Hyde Park	63%	61%	−2
West Chicago	52%	48%	−4
North Chicago	45%	43%	−2
South Chicago	22%	24%	+2

5 Conclusion and Policy Implications

Two findings stand out. First, the sharpest housing-cost increases occurred in lower-priced markets, hitting households already cost-burdened. Second, heavy reliance on property-tax revenue exerted regressive pressure on vulnerable neighborhoods. Tying fiscal capacity tightly to property values, without targeted affordability measures, widens disparity. Resilience requires equity-based fiscal redesign: restructured property-tax dependence, targeted relief, and diversified municipal revenue. Subject to township-level data limitations, the direction is clear: policy protecting vulnerable residents stabilizes communities; policy protecting existing fiscal structures entrenches division.

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